CHAPTER TWENTY-EIGHT

ARRESTING THE SLIDE

An Unbridgeable Chasm

Even before Mistry had completed four years as chairman, Tata Sons, or less than a fifth of the time his predecessor had spent at the helm, he was replaced. His tenure was the shortest among all the chairmen. It was also the first instance where the holding company removed its chairman.

Mistry's removal on 24 October 2016 was not what Ratan had desired. It came after all efforts taken by him to avoid that very outcome had failed. What followed was an event no less unprecedented—the first instance of a retired chairman returning to Bombay House to head the conglomerate, however short a period it may have been for.

The drama, which unfolded with dizzying pace and was completed in under 120 minutes, 'surprised analysts and investors', wrote *The Wall Street Journal*. The whole exercise stood in sharp contrast to the traditional soft approach of the Tata Group of walking an employee out of the door.

No single reason could be identified for Mistry's replacement. There was, however, an issue of corporate governance that was central to his ouster. It related to Mistry not abiding by the commitment he had made prior to his appointment as chairman of maintaining an arm's length from his family concern.

The other factors would have lost much of their significance if this vexatious issue had found a resolution. But it continued to hang over the group, threatening to erode the edifice of the value system that distinguishes the House of Tatas. Other areas of discord, which had begun to surface as early as the first year of Mistry's appointment but were largely ignored, were catapulted into focus and magnified as a result.